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Company Review

Resource valuation, risk and investment thesis

COMPANY

Denison Mines Corp. (NYSE American: DNN | TSX: DML)

ANALYSIS DATE

October 8, 2026

METHOD

Don Durrett 10-factor method and sum-of-the-parts (USD)

PREPARED BY

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Executive Summary

Denison is a Tier 1 (Canada) uranium developer building Phoenix, the Athabasca Basin's first commercial ISR mine, with first production targeted for mid-2028 [4]. The Durrett 10-factor score is **6.5 / 10**. Our after-tax-equivalent sum of the parts (1.3x AISC, stage factors, 5% discount rate) gives **\$3.54, \$4.49 and \$7.35** per share at U3O8 of \$85, \$100 and \$150, against a price near \$2.56 [10]. The \$100 case is close to the analyst average target of about \$4.62 [11].

Dilution risk, a thin liquidity cushion against Phoenix capex, ISR technology risk and weak price action are the main drags. Recommendation: **Hold / accumulate on weakness**. Data Quality Score 7.75 / 10; the audit lists what remains provisional.

\$2.56	~\$2.32B	6.5 / 10	+75%
PRICE (USD) [10]	MARKET CAP [10]	DURRETT SCORE	SOTP UPSIDE (\$100)

Recommendation: Hold / accumulate on weakness. Risk-reward is favorable at \$85-\$100 uranium, but cash plus held uranium (about \$435-\$450M) roughly matches the C\$600M (about \$438M) Phoenix post-FID budget [4], so a raise is plausible (about 40% within 18 months).

Market cap = \$2.56 x 905.2M shares outstanding [10]; aggregator figures range from \$2.3B to \$2.6B. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Project List

PROJECT	LOCATION	OWNERSHIP	STATUS
Wheeler River: Phoenix (ISR)	Saskatchewan, Canada	95% effective	Construction began Mar 2026; first production mid-2028 [4][8]
Wheeler River: Gryphon	Saskatchewan, Canada	95% effective	PFS cost update (2023) [5]
Midwest Main / A (ISR)	Saskatchewan, Canada	25.17%	PEA (Aug 2025) [6]
McClean Lake mill / JV	Saskatchewan, Canada	22.5%	Producing; SABRE mining restarted in 2025 [8]
Waterbury (THT / Huskie)	Saskatchewan, Canada	70.55%	Resource stage; not valued [8]

Table 1. Sources: [4] Phoenix timing; [5] Gryphon; [6] Midwest; [8] ownership (Wheeler River 95% through Denison 90% plus its 50% share of JCU's 10%). All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Project Locations

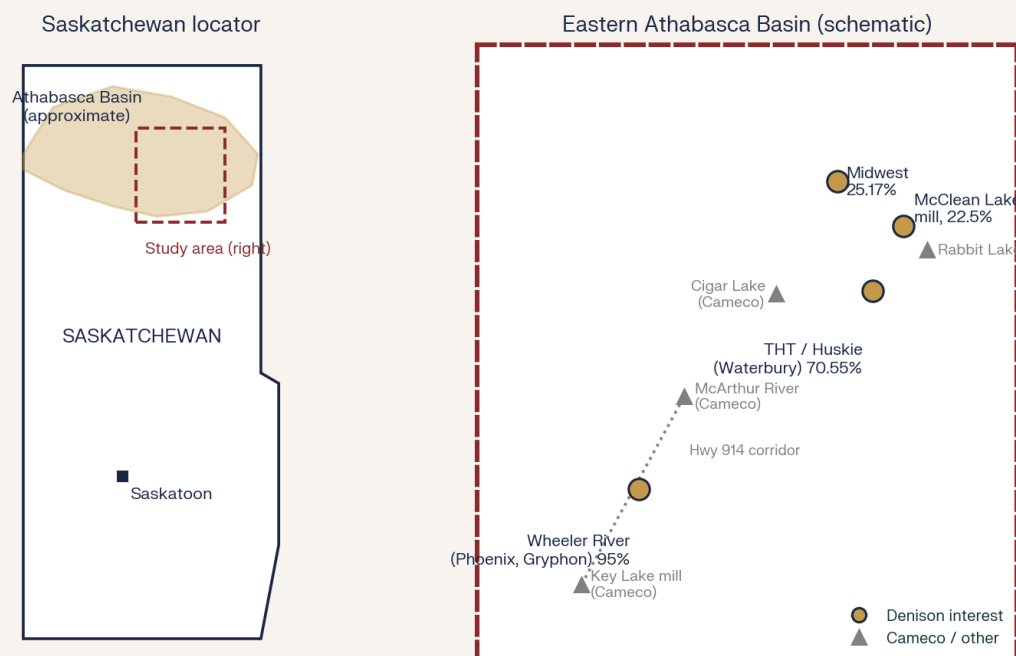


Figure 1. Schematic map, not to scale; dot positions and basin outline are approximate. Distances per company and regulator sources [13]: Wheeler River about 35 km NNE of the Key Lake mill and 35 km SW of McArthur River; Midwest about 25 km from the McClean Lake operation; THT/Huskie within 20 km of the mill. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Reserves, Resources and Plausible Value

PROJECT	P&P	M&I total	M&I ex-reserves	INFERRED	PLAUSIBLE	ATTRIB.
Phoenix (100%)	56.7	70.5	13.8	1.1 (prov.)	60.3	57.3
Gryphon (100%)	49.7	61.9	12.2	1.9	53.2	50.6
Midwest (25.17% share)	none	12.5	12.5	4.9	9.6	9.6
Total attributable						117.4

Table 2. Millions of pounds U3O8 (Mlb), 100% basis except Midwest. Sources: Phoenix P&P 56.7 [3]; Phoenix M&I 70.5 (30.9 measured + 39.7 indicated) [7]; Gryphon Probable 49.7, Indicated 61.9, Inferred 1.9 [5]; Midwest Main Indicated 38.7 and Inferred 12.6 [6], Midwest A (10.8 / 6.8) not re-verified, total x 25.17%. Phoenix inferred (1.1) is an estimate, not verified against the 2023 table. Reserves are recoverable lb, resources are contained lb. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

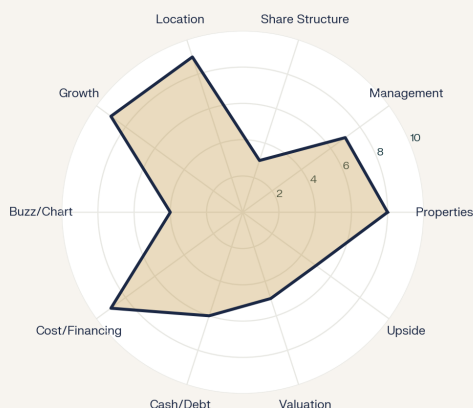
Plausible = P&P x 0.9 + (M&I minus reserves) x 0.65 + Inferred x 0.3. Phoenix: $56.7 \times 0.9 + 13.8 \times 0.65 + 1.1 \times 0.3 = 60.3$ Mlb (x95% = 57.3). Gryphon: $49.7 \times 0.9 + 12.2 \times 0.65 + 1.9 \times 0.3 = 53.2$ (x95% = 50.6). Midwest: $12.5 \times 0.65 + 4.9 \times 0.3 = 9.6$ attributable.

10-Factor Analysis

FACTOR	SCORE	RATING	RATIONALE
Properties / Ownership	8	Strong	Largest undeveloped high-grade Athabasca project; 95% owned [8]
People / Management	7	Good	Phoenix on schedule [4]; insider ownership unverified
Share Structure	3	Weak	905M basic shares [10]; converts offset by capped call to \$4.32 [9]; options not verified
Location	9	Excellent	Canada, Tier 1
Projected Growth	9	Excellent	From 22.5% of McClean to 8.4 Mlb/yr Phoenix average, first 5 years (100%) [3]
Good Buzz / Chart	4	Weak	Below 200-day average; 52-wk range \$2.20-\$4.43 [10]
Cost / Financing	9	Excellent	Phoenix opex \$6.28 and all-in \$16.04/lb (2023 FS) [3] vs \$85-\$150 price
Cash / Debt	6	Fair	About C\$465M cash [10] and \$345M converts [9]; liquidity roughly equals remaining capex
Low Valuation Estimate	5	Fair	EV about \$2.32B, about \$20 per plausible lb
Upside Potential	5	Fair	SOTP at \$150 is 2.9x price; Phoenix largely priced in
Total	65	10 = 6.5	

Table 3. Equal-weighted, scored 1-10 under the Durrett 2.2 rubric. Share structure and cash/debt scores are judgment calls. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Radar Chart



Valuation: Sum of the Parts

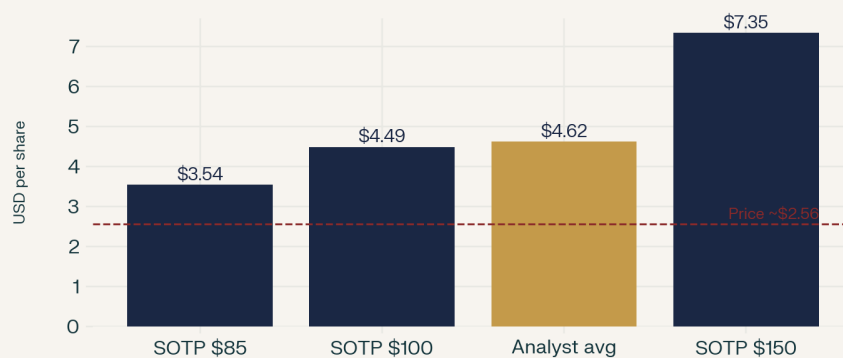
Margin per lb = U3O8 price minus 1.3x AISC (after-tax proxy). Phoenix production follows the company profile (first 5 years 41.9 Mlb, next 5 years 14.8 Mlb) [3], scaled to plausible pounds and 95% ownership; Gryphon and Midwest are even over mine life. Cash flows are discounted at 5% (mid-year), multiplied by the stage factor, and future capex is deducted at present value.

PROJECT	ATTRIB. Mlb	START (yrs)	LIFE (yrs)	AISC \$/lb	1.3x AISC	STAGE
Phoenix	57.3	1.7	10	10.58	13.76	0.80
Gryphon	50.6	5.5	6.5	14.52	18.88	0.60
Midwest	9.6	5.5	6.14	20.77	27.00	0.40

Table 4. AISC = company all-in cost less initial capex per lb, at the studies' 1.355 CAD/USD: Phoenix US\$16.04 less C\$419.4M / 56.7 Mlb [3]; Gryphon US\$25.47 less C\$737.4M / 49.7 Mlb [5]; Midwest US\$25.78 less C\$254M / 37.4 Mlb [6]. Mine lives: Phoenix 10 yrs [3]; Midwest about 6 yrs [6]; Gryphon 6.5 yrs from the 2018 PFS (not re-verified). Start timing: Phoenix [4]; Gryphon and Midwest assumed (no FID). Stage factors: Durrett 2.2. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

USD MILLIONS	\$85	\$100	\$150
Phoenix NAV (stage-weighted)	2,517	3,047	4,813
Gryphon NAV	1,313	1,611	2,605
Midwest NAV	147	184	311
Project NAV	3,977	4,843	7,729
Less: future capex (PV)	(861)	(861)	(861)
Less: net debt (\$345M converts less about \$339M cash)	(6)	(6)	(6)
Plus: held uranium (1.096 Mlb)	97	108	145
Equity value	3,207	4,084	7,007
Per share (905.2M basic; see note)	\$3.54	\$4.49	\$7.35
vs. price of \$2.56	+38%	+75%	+187%

Table 5. Capex PV: Phoenix \$413M (C\$600M post-FID budget [4], no deduction for spend since FID); Gryphon \$411M (C\$737.4M x 95% [5]); Midwest \$37M (C\$254M x 25.17% [6]). Cash about C\$465M is a secondary-source figure [10]; short-term investments (about C\$85M, secondary) are excluded. Convert principal US\$345M [9]. Uranium: 350,000 lb fixed at \$95.17 (\$33.3M) plus 745,926 lb at the scenario price [1]. Per share: converts are deducted as debt and dilution is added only above the \$4.32 capped-call level [9]. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].



Sensitivities

CASE (\$100 uranium)	PER SHARE	VS. BASE
Base case	\$4.49	n/a
Phoenix NAV 15% lower (ISR recovery or cost shortfall)	\$4.01	-11%
\$200M equity raise at \$2.56 (78M shares)	\$4.35	-3%

Table 6. Illustrative; the 15% haircut is an analyst assumption, not a company figure. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Analyst Cross-Check

SOURCE	RATING	TARGET (USD)
WSJ / MarketWatch (16 ratings)	Buy	Avg \$4.62-\$4.65; range \$3.73-\$5.95
MarketBeat TSX: DML (5 analysts)	Buy	Avg about \$4.34 (C\$5.94); range \$3.80-\$4.75
MarketBeat DNN (7 analysts)	Moderate Buy	Avg \$5.38 (likely mixes CAD and USD)
Raymond James (Jan 15, 2026)	Buy	About \$3.69 (C\$5.05)

Table 7. Source: [11]. Aggregator data are secondary; some targets date from Jan 2026. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Input Assumptions Disclosure

INPUT	VALUE	BASIS
U3O8 price	\$85 / \$100 / \$150, flat	Client scenarios; not a forecast
Discount rate / cost pad	5% mid-year / 1.3x AISC	Client instruction
Phoenix capex	\$438M (C\$600M)	Post-FID estimate [4]; timing assumed 1.2 yrs
Gryphon / Midwest capex	\$511M / \$47M attributable	C\$737.4M [5]; C\$254M [6]; timing assumed 4.5 yrs
FX	0.73 USD/CAD	Q2 2026 realized sale: C\$122.16 = US\$89.17 [1]
Start dates	Phoenix 1.7 yrs; others 5.5 yrs	Phoenix [4]; others assumed
Cash / debt	about \$339M / \$345M face	[10] secondary / [9]
Shares	905.2M basic	[10] secondary; options and RSUs not included

Table 8. The \$345M converts bear 4.25%, mature Sep 15, 2031, convert at about \$2.92 and are covered by a cash-settled capped call to \$4.32 [9]. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Capital Raise Outlook (18 months)

Probability of a meaningful raise (about \$50M or more): **about 40%**; forced raise to finish Phoenix: 15-20%. Cash of about \$339M plus uranium of about \$97-\$108M totals roughly \$435-\$450M, against the C\$600M (about \$438M) post-FID Phoenix budget [4], so the cushion is thin. Short-term investments of about C\$85M (secondary source) could add about \$62M. Denison funds 100% of JV construction costs, and Gryphon, Midwest and corporate costs are not covered. A \$200M raise at \$2.56 adds about 78M shares (8.6% of basic).

This section is analyst judgment, not a sourced forecast. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Red Flags and Investor Concerns

Red Flag: ISR technology (Execution): Phoenix would be the first commercial ISR mine in the Athabasca Basin. Freeze-wall performance, wellfield permeability and recovery are unproven at commercial scale; results below the feasibility study could reduce production, raise costs or delay first production. Lab tests are encouraging (over 97% recovery in a long-term core leach test) [12], and 20% of site civil work and first freeze-wall installation were reported by Q2 2026 [12], but freeze-wall confinement is described as an innovation for ISL [12].

Red Flag: Share Structure (3): 905M basic shares [10] and converts that add dilution above \$4.32 [9].

Red Flag: Good Buzz / Chart (4): below the 200-day average; 52-week range \$2.20-\$4.43 [10].

Red Flag: Low Valuation (5) and Upside Potential (5): Phoenix NAV is largely priced in.

Observations and Next Steps

Watch the Q3 2026 report (mid-November) for Phoenix spend-to-date against the C\$600M budget, freeze-wall and wellfield milestones, and any raise. Verify the Phoenix inferred resource, Midwest A resources, cash and short-term investments, and the options/RSU count against filings.

Data Quality Audit

Data Quality Score 7.75 / 10 (accuracy 7.5, hallucination control 8.0, sycophancy 8.0; weighted 0.5 / 0.3 / 0.2). Verified against company primary sources or filings: Phoenix reserves, costs and mine life [3]; Gryphon resources, reserves, capex and costs [5]; Midwest Main PEA [6]; ownership [8]; convert terms [9]; uranium holdings and fixed-price sales [1]. Provisional or secondary: Phoenix inferred (1.1 Mlb) and Midwest A resources; Gryphon mine life; shares outstanding, market data and cash (about C\$465M) [10]; analyst data [11]; map positions; start dates for Gryphon and Midwest; options and RSUs. The project RAG JSON (merged 2026-01-30) predates the Q2 2026 report.

Sources and Footnotes

#	SOURCE
[1]	Denison, Q2 2026 results press release (Aug 12, 2026), prnewswire.com: uranium holdings (950,000 lb physical plus 145,926 lb concentrate), Q2 sales (750,000 lb at C\$122.16 / US\$89.17), 350,000 lb fixed at US\$95.17.
[2]	Denison, Q1 2026 MD&A (SEC Ex. 99.2, sec.gov/Archives/edgar/data/1063259): cash C\$418.5M at Mar 31, 2026; 60 of 89 procurement packages awarded.
[3]	Denison Phoenix FS summary (2023 Annual Report, denisonmines.com; Q3 2025 MD&A, SEC): 56.7 Mlb P&P, 41.9 / 14.8 Mlb profile, 10-year life, opex C\$8.51 (US\$6.28), all-in C\$21.73 (US\$16.04), initial capex C\$419.4M.
[4]	Denison, Phoenix capital update (Jan 2026; mining.com press release): post-FID initial capital about C\$600M; FID Feb 2026, construction from Mar 2026; first production mid-2028.
[5]	Denison, Gryphon release (Jul 16, 2025, prnewswire.com) and Wheeler River project data: Indicated 61.9 Mlb, Inferred 1.9 Mlb, Probable 49.7 Mlb, opex US\$12.75, all-in US\$25.47, initial capex C\$737.4M.
[6]	Denison, Midwest ISR PEA release (Aug 6, 2025, denisonmines.com): Main Indicated 38.7 Mlb, Inferred 12.6 Mlb; 37.4 Mlb over about 6 years; capex C\$254M; opex US\$11.69; all-in US\$25.78; Denison 25.17%.
[7]	Phoenix resource 70.5 Mlb (30.9 measured, 39.7 indicated): ANS, Feb 24, 2026; World Nuclear News, Jun 26, 2023.
[8]	Denison press releases Feb 19, 2026 and Mar 30, 2026 (SEC): 95% Wheeler River, 22.5% McClean Lake JV, 25.17% Midwest, 70.55% Waterbury, 50% JCU.
[9]	Denison convertible notes: SEC filing and press release (Aug 13-15, 2025): US\$345M, 4.25%, due Sep 15, 2031, conversion price about US\$2.92, capped call cap US\$4.32.
[10]	MarketWatch DNN (Oct 7, 2026): 905.22M shares, 52-week range; MarketBeat close \$2.56; stockstotrade.com / timothysykes.com (Oct 6, 2026): cash about C\$465M, about C\$550M with short-term investments (secondary).
[11]	WSJ and MarketWatch analyst estimates (Sep 2026); MarketBeat DML and DNN (Sep-Oct 2026); Raymond James via Yahoo Finance (Jan 2026).
[12]	Denison release (Dec 8, 2022) on 97% recovery; World Nuclear Association, In-Situ Leach Mining of Uranium; Q2 2026 progress (Crux Investor, Aug 13, 2026; StockTitan 6-K, Jul 28, 2026).
[13]	Wheeler River fact sheet (erfn.net); Mining Technology; Orano / Denison McClean Lake releases (distances).

All sources accessed Oct 8, 2026. All figures in U.S. dollars (USD); Canadian-dollar company figures converted at 0.73 USD/CAD [1].

Audit Trail

{ "constants": { "pp": 0.9, "mi": 0.65, "inferred": 0.3}, "fx": 0.73, "discount": 0.05, "cost_pad": 1.3, "timestamp": "2026-10-08T20:00:00Z", "method": "Don-Durrett 2.2" }

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